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FM Practice Quiz M1

Question 1

Which of the following is an example of concentration risk?

- ☐ A bank's portfolio is heavily invested in a single sector or asset class
- ☐ A bank adjusts its interest rates based on changes in the market
- ☐ A bank conducts thorough background checks on all loan applicants
- ☐ A bank diversifies its investments across multiple industries and asset classes

Question 2

Evaluate the following statement: "The Fisher effect suggests that investors demand higher nominal interest rates to compensate for expected inflation."

- ☐ The Fisher effect is unrelated to the statement
- ☐ The statement is true
- ☐ The statement is false
- ☐ The statement is partially true



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QUESTIONS

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X	X	X	X
X	X	X	X
X	X	X	X

Question 3

Which of the following is NOT a type of risk in finance?

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- ☐ National security risk
- ☐ Equity risk
- ☐ Economic risk
- ☐ Model risk

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Question 4

Given a bond with a face value of \$1,000, a current market price of \$950, an annual coupon rate of 4%, and 4 years to maturity, what is the implied yield to maturity (YTM)?

- ☐ 4.50%
- ☐ 5.42%
- ☐ 3.75%
- ☐ 4.32%

Question 5

Analyze the potential consequences of a lack of distinction between commercial and investment banking, as seen in the subprime mortgage crisis.

- ☐ It promotes healthy competition and innovation in the banking sector
- ☐ It can lead to excessive risk-taking and financial instability
- ☐ It has no significant impact on the overall stability of the financial system
- ☐ It ensures better protection for consumer deposits and investments

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Question 6

What is the primary principle behind the concept of time value of money?

- ☐ The value of money today is worth less than the value of the same amount of money in the future.
- ☐ The value of money remains constant over time.
- ☐ The value of \$1 today is worth more than the value of \$1 in the future.
- ☐ The value of money increases at a constant rate over time.

Question 7

What is the main purpose of collateral in a loan?

- ☐ To ensure that the lender makes a profit on the loan
- ☐ To increase the interest rate on the loan
- ☐ To serve as a backup for the credit risk of the borrower
- ☐ To allow the borrower to borrow more money

Question 8

If a bond is trading at a price below its face value, what does this imply about the relationship between the bond's coupon rate and the current market interest rate?

- ☐ The bond's coupon rate is equal to the current market interest rate
- ☐ There is no relationship between the bond's coupon rate and the current market interest rate

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- ☐ The bond's coupon rate is higher than the current market interest rate
- ☐ The bond's coupon rate is lower than the current market interest rate

Question 9

If a bond issuer's credit rating declines, what is the most likely outcome for the bond's price?

- ☐ The bond's price will decrease
- ☐ The bond will be immediately defaulted
- ☐ The bond's price will remain unchanged
- ☐ The bond's price will increase

Question 10

Which of the following best describes the relationship between risk and return in investments?

- ☐ Lower risk generally leads to higher potential returns
- ☐ Risk and return are not related in investments
- ☐ Higher risk generally leads to higher potential returns
- ☐ Higher risk generally leads to lower potential returns

Question 11

Suppose an investor buys a bond with a face value of \$1,000, a coupon rate of 5%, and a maturity of 3 years. Assuming annual coupon payments, how much will the investor receive in coupon payments each year?

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- ☐ \$50
- ☐ \$200
- ☐ \$150
- ☐ \$100

Question 12

What is the bid-ask spread?

- ☐ The difference between the current price and the face value of a bond
- ☐ The difference between the opening and closing price of a security
- ☐ The difference between the price at which someone is willing to buy (bid) and the price at which someone is willing to sell (ask)
- ☐ The difference between the highest and lowest price of a security

Question 13

What is the primary purpose of central banks?

- ☐ To maximize profits for their shareholders
- ☐ To maintain stability and transparency for countries' economies
- ☐ To compete with commercial banks for customers
- ☐ To invest in high-risk financial products

Question 14

An investment of 10,000 *grows to* 15,000 in 5 years.
What is the annual compound interest rate?

- ☐ 8.45%
- ☐ 10.00%
- ☐ 7.50%
- ☐ 9.00%

Question 15

Which type of financial institution would likely be the best choice for someone looking to purchase insurance?

- ☐ Contractual institution
- ☐ Depository institution
- ☐ None of the above
- ☐ Investment institution

Question 16

What are the two main components of the cost of financing a short position?

- ☐ The transaction fees and the income cost
- ☐ The financing cost (interest rate for borrowing the security) and the income cost (payments the borrowed security generates)
- ☐ The bid-ask spread and the transaction fees
- ☐ The bid-ask spread and the financing cost

Question 17

What was the main purpose of the Glass-Steagall Act of 1933?

- ☐ To allow banks to open multiple branches across state lines
- ☐ To separate commercial banking from investment banking
- ☐ To increase competition between commercial and investment banks
- ☐ To encourage banks to invest in high-risk financial products the Glass-Steagall Act of 1933

Question 18

What is the relationship between the slope of the yield curve and the level of risk associated with investments?

- ☐ A negative slope indicates that short-term investments are riskier than long-term investments
- ☐ A positive slope indicates that short-term investments are riskier than long-term investments

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- ☐ The slope of the yield curve has no relationship with investment risk
- ☐ A flat yield curve indicates that short-term investments are riskier than long-term investments

Question 19

What is the main difference between an overdue payment and a default?

- ☐ An overdue payment is a failure to make any payment while a default is just a late payment.
- ☐ There is no difference between an overdue payment and a default.
- ☐ An overdue payment involves interest while a default involves principal.
- ☐ An overdue payment is a late payment while a default is a failure to make any payment at all.

Question 20

What is the main difference between the buy-side and sell-side in the financial industry?

- ☐ The buy-side only buys securities and the sell-side only sells securities
- ☐ The buy-side and sell-side are essentially the same
- ☐ The buy-side is always profitable while the sell-side is not
- ☐ The buy-side invests on behalf of clients while the sell-side makes markets

SUBMIT

